MACROECONOMICS

MACRO-36

Time: 5 minutes

Outcome: Trace wage and input-price adjustment that returns output toward potential.

Difficulty: ●●○ Intermediate

Long-Run Macroeconomic Self-Adjustment

THE CORE IDEA

A recessionary gap has short-run output below potential; an inflationary gap has output above potential. With no new demand shock or discretionary policy, labor-market and input-price adjustment changes SRAS over time. Weak demand for labor in a recessionary gap reduces wage-cost pressure and shifts SRAS right; an inflationary gap raises wage-cost pressure and shifts SRAS left. Output returns toward LRAS.

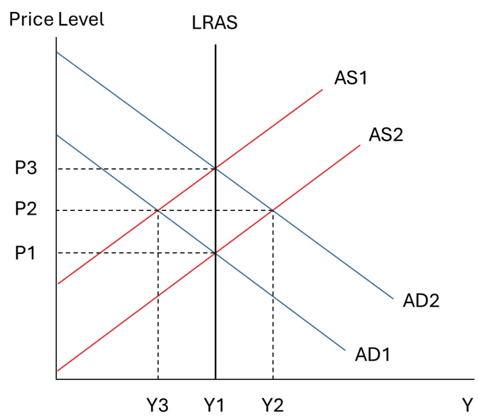
HOW TO RECOGNIZE IT

- Compare short-run equilibrium output with the LRAS position to classify the gap.
- Below potential: wages and input costs adjust downward, shifting SRAS right.
- Above potential: wages and input costs adjust upward, shifting SRAS left.
- Self-adjustment changes SRAS; discretionary stabilization deliberately shifts AD.

WATCH OUT

Do not assume aggregate demand must reverse itself. In the textbook self-correction mechanism, wage and input-price adjustment shifts SRAS along the existing AD curve.

WORKED EXAMPLE: CLOSING A RECESSIONARY GAP



After AD falls to AD1, the short-run equilibrium is Y3, left of LRAS at Y1. Elevated unemployment reduces wage and input-cost pressure, shifting SRAS from AS1 to AS2. The economy moves along AD1 to Y1 at the lower price level P1 without discretionary policy.

CHECK YOURSELF

Output is above potential and AD is unchanged. Which direction must SRAS move during self-adjustment?

READY? Return to the game and master this concept.